

Yogakshemam Loans Limited

September 16, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term bank facilities	RBI	225.00	CARE BBB-(RWP)	Continues to be on Rating Watch with Positive Implications
Non-convertible debentures	MCA	22.00	CARE BBB-(RWP)	Assigned

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

CARE Ratings Limited (CareEdge Ratings) has reaffirmed ratings assigned to bank facilities of Yogakshemam Loans Limited (YLL) and assigned ratings to its non-convertible debentures (NCDs), while continues to be on 'Rating Watch with Positive Implications (RWP)' following the announcement by Tata Capital Limited (TCL; rated CARE AAA; Stable/ CARE A1+) regarding its proposed acquisition of YLL. Under the proposed all-cash transaction, TCL is expected to acquire ~88.6% stake in YLL through a combination of subscription to fresh equity shares and acquisition of shares from existing shareholders. The transaction values YLL at a pre-money equity valuation of ~₹318 crore, subject to customary adjustments, and includes a primary capital infusion of ~₹93 crore. On completion of the transaction, subject to receipt of requisite regulatory approvals and fulfilment of customary closing conditions, YLL will become a subsidiary of TCL, resulting in a change in ownership and control. The existing management team of YLL is expected to continue managing the day-to-day operations of the company post-acquisition.

CareEdge Ratings will continue to monitor progress of the transaction and will take appropriate rating action once the transaction is completed and there is greater clarity of this event's impact on the company's business and financial risk profile.

Ratings continue to factor in YLL's experienced management team, relatively diversified loan portfolio, improvement in scale of operations, adequate capitalisation for current level of operations, good asset quality and sufficient loan appraisal and risk management systems. Ratings also take note of improving asset quality profile, with gross non-performing assets (GNPA) and net NPA (NNPA) improving to 1.21% and 0.60%, respectively, as on March 31, 2026, from 2.29% and 0.95%, respectively, as on March 31, 2025, despite migration to the more stringent 90+ days past due (DPD) NPA recognition framework. Asset quality remained stable subsequently, with GNPA and NNPA at 1.23% and 0.62%, respectively, as on June 30, 2026.

However, ratings remain constrained by the company's moderate profitability, geographical concentration in the loan portfolio, exposure of the gold loan portfolio to gold price volatility, increasing competitive intensity from banks in the gold loan segment, and a moderately diversified resource funding profile.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Improvement in scale of operations while improving geographical diversification and improving profitability levels.
- Significant improvement in capitalisation levels.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Weakening asset quality parameters, leading to decline in profitability with return on total assets (ROTA) of below 1% on a sustained basis.
- Deterioration in capital adequacy with capital adequacy ratio (CAR) below 18% on a sustained basis.
- Asset under management (AUM) to net worth exceeding 9x on a sustained basis.

Analytical approach: Standalone

Outlook: Not applicable

Detailed description of key rating drivers:

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

²Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Key strengths

Experienced management team and adequate loan appraisal and risk management systems

YLL's board members and senior management possess extensive experience in the non-banking financial company (NBFC) lending sector. Unni Krishnan, former managing director of Manappuram Finance Limited, joined YLL as managing director in FY15, bringing with him over 25 years' experience in the NBFC industry. Ramachandran Ottapathu, CEO and director of Choppies Enterprises Limited, was inducted in the company's board and assumed the role of Chairman in FY19. The company's day-to-day operations are managed by experienced professionals from the industry.

YLL has established adequate loan appraisal and risk management systems. Branch employees are trained to assess the gold jewellery offered as collateral by prospective borrowers. The company has implemented robust measures to safeguard gold assets and minimise custodial risks, including secured vaults with dual control and insurance coverage for the gold. All branches are equipped with surveillance cameras for continuous monitoring. YLL has centralised its disbursement process following regulatory restrictions on cash disbursements exceeding ₹20,000.

YLL has developed an in-house IT system that integrates loan origination, loan management, and accounting functions. The system connects all branches, enabling real-time reporting and monitoring daily operations, which is built using .Net and SQL. The presence of a robust IT infrastructure and management information systems (MIS) ensures smooth and efficient functioning of the company's operations.

Growing scale of operations; however, size continues to be moderate

YLL's AUM grew by 15% on a year-on-year (y-o-y) to ₹706 crore as on March 31, 2026, compared to ₹615 crore as on March 31, 2025, driven primarily by growth in the gold loan portfolio and increased off-book assets through co-lending partnership. AUM stood at ₹711 crore as on June 30, 2026. The company offers a diverse range of loan products, including gold loans, vehicle loans, business loans, microloans, and consumer durable loans. As on March 31, 2026, the portfolio composition across these segments was 86%, 10%, 3%, 0.06%, and 0.68%, respectively, compared to 79%, 14%, 6%, 1%, and 0.38%, respectively, in the previous year. As on June 30, 2026, the portfolio composition across these segments was 87%, 10%, 3%, 0.03%, and 0.76%, respectively.

As on March 31, 2026, off-book exposure stood at ₹70 crore, forming 10% of AUM. However, this portfolio reduced to ₹25 crore forming 4% of the overall AUM as on June 30, 2026. Going forward, YLL's ability to expand its loan book across geographies in a highly competitive market, while maintaining asset quality, will be a key rating monitorable.

Good asset quality indicators

The company's asset quality profile improved despite the transition to the more stringent 90+ DPD-based NPA recognition framework, with GNPA and NNPA declining to 1.21% and 0.60%, respectively, as on March 31, 2026, from 2.29% and 0.95%, respectively, as on March 31, 2025. The asset quality remained stable in Q1FY27, with GNPA and NNPA at 1.22% and 0.62%, respectively, as on June 30, 2026.

The overall 90+ DPD ratio improved to 1.03% as on March 31, 2026, from 3.29% a year earlier and further moderated to 1.05% as on June 30, 2026. While the gold loan portfolio continued to exhibit negligible delinquency levels, with 90+ DPD of 0.002% as on March 31, 2026, and 0.005% as on June 30, 2026, the vehicle finance portfolio reported higher delinquency levels of 7.10% and 7.40%, respectively.

The company's recovery mechanisms, including auction of pledged gold and repossession of financed vehicles in case of persistent delinquencies, support asset quality. Write-offs remained manageable at ₹7.76 crore in FY26, primarily pertaining to the non-gold loan portfolio. In Q1FY27, YLL wrote off ₹0.80 crore.

CareEdge Ratings expects the asset quality to remain stable in the medium term, considering significant concentration in the gold loan segment.

Adequate capitalisation for current scale of operations

YLL's capitalisation remained adequate for its current scale of operations, with total CAR and Tier-I CAR improving to 20.58% and 15.94%, respectively, as on March 31, 2026, from 20.51% and 15.53%, respectively, as on March 31, 2025. The total CAR and Tier I CAR stood comfortable at 20.38% and 15.47%, respectively, as on June 30, 2026. The company's gearing levels improved

slightly to 5.04x as on March 31, 2026, from 5.14x in the previous year. Similarly, the AUM to tangible net worth (TNW) ratio decreased to 6.31x as on March 31, 2026, from 6.94x in the same period last year. The capital structure was further supported by an infusion of ₹10 crore through compulsory convertible preference shares by the promoters and existing shareholders in FY26.

As on June 30, 2026, the gearing level increased to 5.50x, however, AUM/TNW improved to , due to increase in cash and cash equivalent.

CareEdge Ratings expects YLL's capitalisation to remain adequate for its current scale of operations. Under the proposed acquisition by TCL, the company is expected to receive a primary capital infusion of ~₹93 crore, subject to receipt of the requisite regulatory approvals and fulfilment of customary conditions precedent. The proposed capital infusion is expected to strengthen the company's capital base and support its future growth plans.

Key weaknesses

Moderate profitability

YLL's net interest margin (NIM) moderated to 10.35% in FY26 from 11.76% in FY25, primarily due to the increasing share of lower-yielding products in the portfolio. Operating expenses remained elevated at 9.26% in FY26 compared to 9.00% in FY25. The company's pre-provision operating profit (PPOP) increased marginally to ₹23.93 crore in FY26 from ₹23.00 crore in FY25. Credit costs declined significantly to 0.80% in FY26 from 1.59% in FY25, supported by improvement in the company's asset quality. Consequently, YLL reported a higher profit after tax (PAT) of ₹14.21 crore in FY26 compared to ₹10.27 crore in FY25. The improvement in profitability also translated into a higher return on average total assets (ROTA) of 2.21% in FY26 against 1.81% in FY25.

In Q1FY27, the company reported PAT of ₹4.99 crore on total income of ₹39.49 crore. ROTA improved to 2.70% (annualised) in Q1FY27, aided improved credit costs and operating expenses despite slight moderation in NIM.

CareEdge Ratings expects profitability to remain moderate in the medium term, given moderation in yields due to portfolio diversification towards lower-yielding products and the company's relatively high operating expense levels. The company's ability to improve operating efficiency, maintain asset quality, and sustain profitability will remain key rating monitorable.

Geographically concentrated nature of business

YLL's operations continue to exhibit geographic concentration in southern India, with its presence limited to Karnataka, Kerala, Tamil Nadu, and Andhra Pradesh. As on March 31, 2026, Karnataka constituted largest share of the portfolio at 39% (PY: 35%), followed by Kerala at 35% (PY: 42%), Tamil Nadu at 17% (PY: 16%), and Andhra Pradesh at 9% (PY: 7%). The shift in portfolio composition reflects the company's measured expansion across other southern states, resulting in a reduced dependence on Kerala. CareEdge Ratings expects the portfolio to remain geographically concentrated in the southern India over the medium term.

Moderately diversified resource profile

As on March 31, 2026, the company's resource profile continues to remain moderately diversified with term loans from banks comprised of 32% of total borrowings (March 31, 2025: 17%), cash credit (CC)/ overdraft (OD) facilities at 3% (March 31, 2025: 12%), term loans from NBFCs and financial institutions at 35% (March 31, 2025: 34%), retail NCDs at 16% (March 31, 2025: 19%), and retail subordinated debt at 13% (March 31, 2025: 18%).

As on June 30, 2026, the resource profile comprises of term loans from banks forming 32%, CC/OD facilities at 3%, term loan from NBFCs and financial institutions at 36%, retail NCDs at 15%, institutional NCDs at 2% and retail sub-ordinated debt at 12%.

The company commenced co-lending operations in FY23, with the off-book portfolio standing at ₹70.23 crore as of March 31, 2026, which subsequently declined to ₹25.13 crore as of June 30, 2026.

Going forward, the company's ability to further diversify its funding sources and reduce borrowing costs will be crucial for sustaining margins and remains a key rating monitorable.

Exposure to price risk of gold and increasing competition from banks in gold loan business

As on June 30, 2026, gold loans accounted for 87% of the company's AUM compared to 79% as on March 31, 2025. Given that the company's portfolio predominantly comprises one-year tenor gold loans, the higher share of gold loans in the overall portfolio increases its susceptibility to risks arising from adverse movements in gold prices. The company's ability to keep auction losses under control remains a key monitorable. Due to the secured nature of gold loans, banks have increasingly focused on this segment in recent years, intensifying competition for NBFCs.

Liquidity: Adequate

YLL's liquidity profile remains adequate, supported by the predominantly short-tenor nature of its loan book, particularly gold loans, and a funding profile largely comprising longer-tenor borrowings. Per the asset liability management (ALM) statement as on June 30, 2026, the company reported no negative cumulative mismatches in any of the time buckets up to one year, while maintaining unencumbered cash of ₹22 crore as on June 30, 2026. The company also has unutilised CC lines of ₹29 crore, providing liquidity support for meeting near term debt obligations.

Applicable criteria

[Definition of Default](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Non-Banking Financial Companies](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Non-banking financial company (NBFC)

YLL was formerly known as Yogakshemam Kuries & Loans Private Limited and was incorporated on February 13, 1991. The company became a registered NBFC with the Reserve Bank of India (RBI) in 2000. Initially promoted by N D Narayanan, YLL was established for offering loans against gold and other financial products.

In 2015, the promoter partnered with Unnikrishnan I, former managing director of Manappuram Finance Limited (rated 'CARE AA; Stable/CARE A1+'), and Ramachandran Ottapathu, CEO of Choppies Group—the largest retail chain in Botswana with operations across South Africa, Zimbabwe, Zambia, and Kenya. This strategic collaboration helped expand the company's capital base, diversify its product offerings, and extend its geographic footprint beyond Kerala.

As on March 31, 2026, the shareholding structure included 44.45% held by Ramachandran Ottapathu and family, 30.88% by Unnikrishnan and family, 0.28% by N.D. Vijayan and family, with the remaining held by independent directors, key managerial personnel (KMPs), and individual shareholders.

YLL primarily operates in the gold loan segment, with a limited presence in vehicle loans (new two-wheelers), SME business loans, microfinance, and consumer durable loans. The company had a network of 164 branches across Kerala, Tamil Nadu, Karnataka, and Andhra Pradesh as on March 31, 2026. Its AUM stood at ₹711.08 crore, with gold loans comprising 86.68% of the portfolio, followed by vehicle loans (9.83%), business loans (2.70%), consumer durable loans (0.76%), and micro loans (0.03%) as on June 30, 2026.

Brief Financials (₹ crore)	FY25	FY26	Q1FY27
Standalone	A	A	UA
Total income	130.43	140.68	39.49
Profit after tax (PAT)	10.27	14.21	4.99
Assets under management (AUM)	614.46	705.74	711.08
On-book gearing (x)	5.14	5.04	5.50
AUM / tangible net-worth (TNW) (x)	6.94	6.31	6.08
Gross non-performing assets (GNPA)	2.29*	1.23	1.22
Return on managed assets (ROMA) (%)	1.61	1.95	2.53**
Capital adequacy ratio (CAR) (%)	20.51	20.58	20.38

A: Audited, UA: Unaudited, Note: These are latest available financial results

*GNPA is based on 120+ DPD, ** Annualised

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Fund-based-Long Term	RBI	Simple	-	-	-	September, 2028	225.00	CARE BBB-(RWP)
Debentures-Non-Convertible Debentures	MCA	Complex	INE348Y07IO6	29-06-2026	13.50%	29-06-2028	10.00	CARE BBB-(RWP)
			INE348Y07IJ6	01-07-2026	13.60%	20-08-2028	12.00	CARE BBB-(RWP)

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based-Long Term	LT	225.00	CARE BBB- (RWP)	1) CARE BBB- (RWP) (21-Jul-26)	1)CARE BBB-; Stable (20-Nov-25) 2)CARE BBB-; Stable (01-Aug-25)	1)CARE BBB-; Stable (13-Sep-24)	1)CARE BBB-; Stable (02-Jan-24) 2)CARE BBB-; Stable (03-Apr-23)
2	Debentures-Non-Convertible Debentures	LT	22.00	CARE BBB- (RWP)	-	-	-	-

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable**Annexure-4: Lender details**To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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